56. Which one of the following is not a feature of Value Added Tax ?

(a) It is a multi-point destination-based system of taxation.

(b) It is a tax levied on value addition at each stage of transaction in production-distribution chain.

(c) It is a tax on the final consumption of goods or services and must ultimately be borne by the consumer.

(d) It is basically a subject of the Central Government and the State governments are only a facilitator for its successful implementation.

Ans. (d): "Value-based tax" is a multi-point target based tax system. In this, a tax is levied on value addition at every stage of the transaction in the production/distribution chain. It is a tax on the final consumption of goods and services, which consumers eventually have to bear.

57. Micro finance is the provision of financial services to people of low-income groups. This includes both the consumers and the self-employed. The service/services rendered under micro-finance is/are:

1. Credit facilities

2. Saving facilities

3. Insurance facilities

4. Fund Transfer facilities

Select the correct answer using the codes given below the lists:

(a) 1 only (b) 1 and 4 only

(c) 2 and 3 only (d) 1, 2, 3, and 4

Ans. (d): Providing credit facilities to the rural poor, especially women, for carrying out income- generating activities without any collateral guarantee is called micro-financing. The services provided under micro-finance are credit facilities, saving facilities, insurance facilities and fund transfer facilities.

58. Regarding the International Monetary Fund, Which one of the following statements is correct?

(a) It can grant loans to any country

(b) It can grant loans to only developed countries

(c) It grants loans to only member countries

(d) It can grant loans to the central bank of a country

Ans. (c): The International Monetary Fund (IMF) is an international monetary organization. It was established on 27 December, 1945 in Washington (United States) as decided by the Bretton Woods Conference. It provides loans only to member countries thereby correcting their adverse balance of payments.

59. Why is the offering of ''teaser loans'' by commercial banks a cause of economic concern?

1. The teaser loans are considered to be an aspect of sub-prime lending and banks may be exposed to the risk of defaulters in future.

2. In India, the teaser loans are mostly given to inexperienced entrepreneurs to set up manufacturing or export units.

Which of the statements given above is /are correct?

(a) 1 only (b) 2 only

(c) Both 1 and 2 (d) Neither1 and nor 2

Ans. (a): There are such Teaser loans offered by commercial banks that are offered to the borrower irrespective of the ability to choose the loan and other parameters. The rate of interest on such loans is attractively low in the initial years and increases in subsequent years.

60. Economic growth is usually coupled with –

(a) Deflation (b) Inflation

(c) Stagflation (d) Hyperinflation

Ans. (b): Inflation or currency expansion is the state in which the value of a currency falls and prices rise. Economic outlook committees and controlled inflation are beneficial to the underdeveloped economy as it increases production.

61. The lowering of Bank Rate by the Reserve Bank of India leads to

(a) More liquidity in the market

(b) Less liquidity in the market

(c) No change in the liquidity in the market

(d) Mobilization of more deposits by commercial bank

Ans. (a) : The liquidity in the market increases as a result of the Reserve Bank of India reducing the bank rate. Bank rate cuts are intended to help reduce other interest rates that encourage lending from banks.

• Foreign Trade of India, Economic Organizations & Share Market

62. In terms of economy, the visit by foreign nationals to the XIX Common Wealth Games in India amounted to –

(a) Export (b) Import

(c) Production (d) Consumption

Ans. (a): The income comes from "tourism" and that is an invisible export.

63. With reference to India, consider the following Central Acts :

1. Import and Export (Control) Act, 1947.

2. Mining and Mineral Development (Regulation).

3. Customs Act, 1962

4. India Forest Act, 1927

Which of the above Acts have relevance to/ bearing on the biodiversity conservation in the country?

(a) 1 and 3 only (b) 2, 3 and 4 only

(c) 1, 2, 3 and 4 (d) None of the above act

Ans. (c) : There are 35 Acts' of The Indian government that have relevance to biodiversity conservation which includes all the four options given in this question.

64. Why is the Government of India disinvesting its equity in the Central Public Sector Enterprises (CPSEs)

1. The Government intends to use the revenue earned from the disinvestment mainly to pay back the external debt.

2. The Government no longer intends to retain the management control of the CPSEs.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only

(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (d): The Government of India is disinvesting its equity in Central Public Sector Enterprises (CPSEs). The proceeds from the disinvestment of public sector undertaking go to the 'National Investment Fund' set up in 2005, whose main objective is to invest in social development projects. The government's share of citizens in public sector undertakings, better corporate governance and management control are the main points of government disinvestment.

SCIENCE

• Physics

65. The function of heavy water in a nuclear reactor is to –

(a) Slow down the speed of neutrons.

(b) Increase the speed of neutrons.

(c) Cool down the reactor

(d) Stop the Nuclear reaction.

Ans. (a): The function of heavy water (D_2O) in a nuclear reactor is to reduce the speed of neutrons. Deuterium and tritium are isotopes of hydrogen (H_2). Heavy water is a compound of hydrogen, deuterium and oxygen. Its relative density is 101 and the freezing point is slightly higher than ordinary water. The Heavy Water Board, Mumbai, is responsible for the production of nuclear energy as well as for the supply of the required heavy water demand for research reactors.

66. What is the difference between a CFL and an LED lamp?

1. To produce light, a CFL uses mercury vapour and phosphorus while an LED lamp uses semi-conductor material.

2. The average life span of a CFL is much longer than that of an LED Lamps.

3. A CFL is less energy-efficient as compared to an LED lamp.

Which of the statements given above is/are correct?

(a) 1only (b) 2 and 3 only

(c) 1 and 3 (d) 1, 2 and 3

Ans. (c): Ultraviolet light is generated in CFLs by passing electricity from mercury vapour, which is absorbed by the phosphorus coating inside the lamp. LED lamps use traditional semiconductor light-emitting diodes, organic LED or polymer LED technology. CFLs have an average life span of 6000 to 15000 hours, while LED lamps can generally last 25-30 years.

• Chemistry

67. Consider the following:

1. Carbon dioxide

2. Oxides of Nitrogen

3. Oxides of Sulphur

Which of the above is/are the emission/emissions from coal combustion at thermal power plants -

(a) 1 only (b) 2 and 3 only

(c) 1 and 3 only (d) 1, 2 and 3

Ans. (d) : Coal combustion in thermal power plants provides the emission of carbon dioxide, oxides of nitrogen, oxides of sulphur and airborne inorganic particles, etc.

68. Regarding ''carbon credits'', which one of the following statements is not correct ?

(a) The carbon credit system was ratified in conjunction with the Kyoto Protocol .

(b) Carbon credits are awarded to countries or groups that have reduced greenhouse gases below their emission quota.

(c) The goal of the carbon credit system is to limit the increase of carbon dioxide emission.

(d) Carbon credits are traded at a price fixed from time to time by the United Nations Environment Programme.

Ans. (d) : According to the carbon credit system, the maximum carbon emissions made by that country are determined according to the industries available in a country. The carbon credit system was implemented under the Kyoto Protocol to reduce carbon emissions in the environment. In international markets, carbon credits are traded according to their current market prices.

69. Aspartame is an artificial sweetener sold in the market. It consists of amino acids and provides calories like other amino acids. Yet it is used as a low-calorie sweetening agent in food items. What is the basis of this use ?